

Fearnleys Tanker Market Wrap-up Mar 2026

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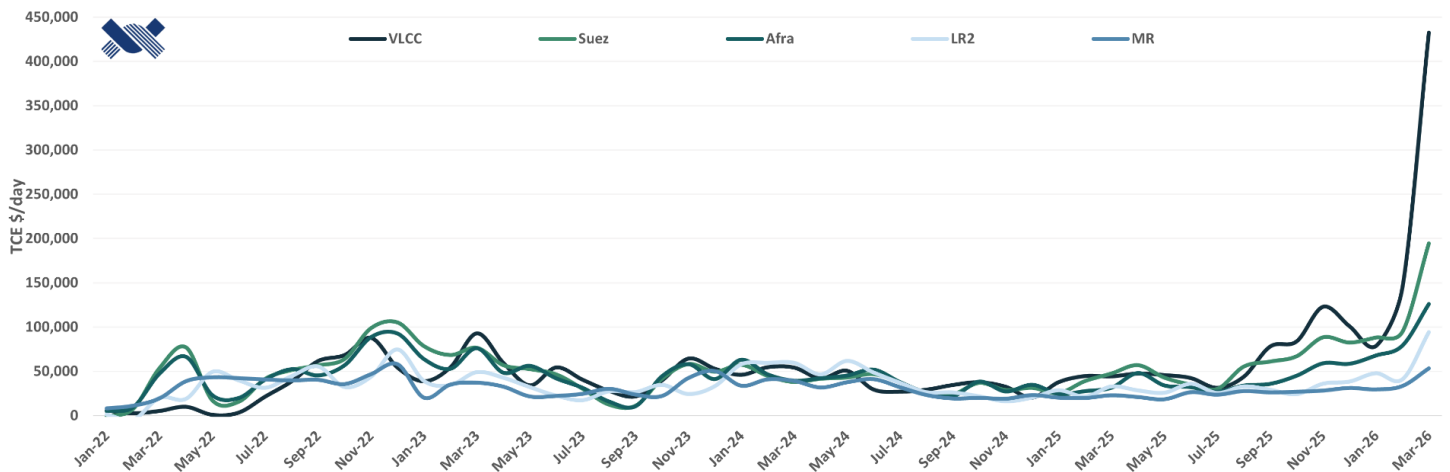
Closed straits, open questions

Summary

While discussions between Iran and the U.S. may or may not be ongoing, disruptions to tanker flows are real, and may continue for prolonged periods depending on the trajectory of the conflict. For now, huge oil price swings and acute vessel shortages in some areas produce very high rates. Among the many potential scenarios that can be painted here, three main ones stand out:

- A swift ceasefire and resolution. This may cause some pent-up demand, with flows returning from the MEG at the same time as more vessels have ballasted to the West, causing logistical issues and firming rates.
- A multi-month Hormuz disruption causing acute oil shortages, necessitating further SPR releases etc. That may give a lasting oversupply of vessels in all areas, and the harm caused to oil production may give a slower ramp-up if/when a resolution is finally reached. Similarly, SPR releases may smoothen the upside potential in a re-opening phase. The flip side would be high enough oil prices to boost oil production growth in 2027 and 2028.
- Tanker wars 2.0.... A long-lasting conflict and disruption to seaborne oil (and other commodity) flow, which may have dire consequences for the global economy and tanker market.

Tanker rates



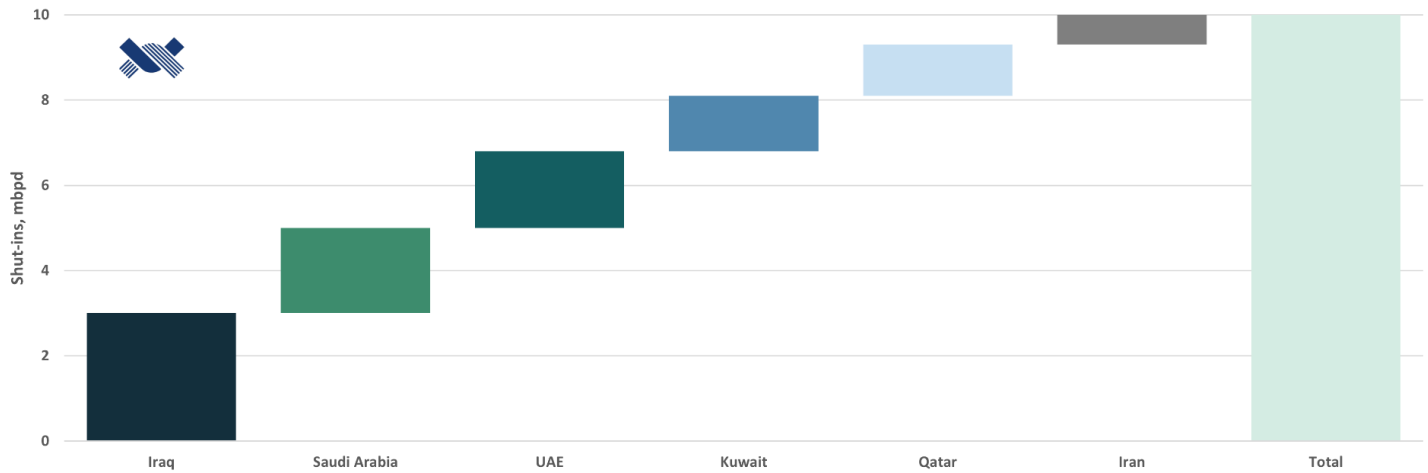
Source: Baltic Exchange, Fearnleys

A VLCC sized demand gap

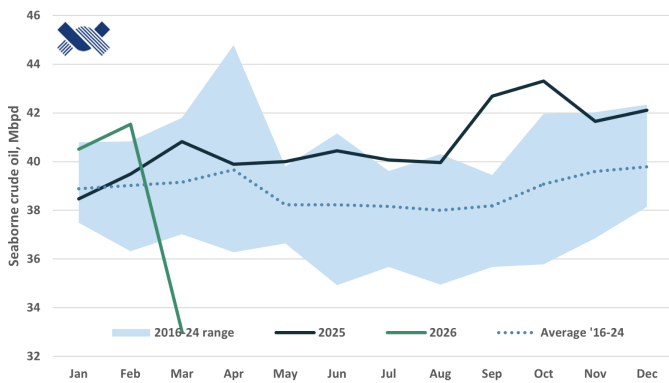
Average month to date crude oil and condensate loadings have declined by 8.6 mbpd vs. the February average, while products have declined by 2.2 mbpd. The latest weekly data point to another 4 mbpd downside for crude. Various sources estimate that MEG production shut-ins have reached 10-12 mbpd, including condensates and liquids. As long as the Hormuz remains closed, this gap may persist, and even grow.

Even if and when there is a reopening, it will take some time for production to fully recover - hence the oil and financial market reaction may be too complacent. Nergy agencies such as the IEA in its last monthly report have assumed a quick ramp-up after March, but this looks increasingly less likely. For instance, KPC's CEO said that it would take 3-4 months for Kuwait to restore full pre-war production. In Iraq and other countries the situation is likely not any better. Hence, even if the war should stop tomorrow, full volumes might not be back until the summer.

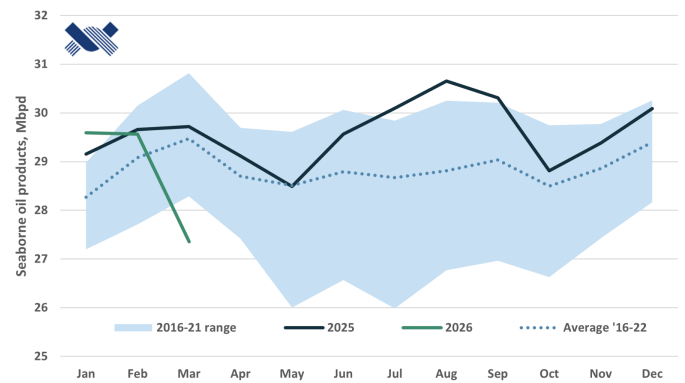
Main estimated production shut-ins



Monthly seaborne crude oil volume



Monthly seaborne oil product volume

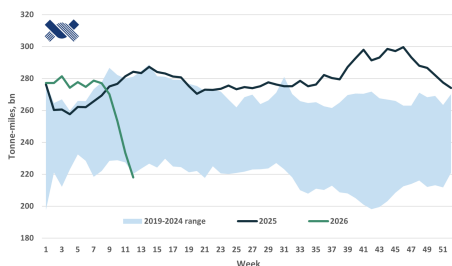


Source: Rystad, Vortexa

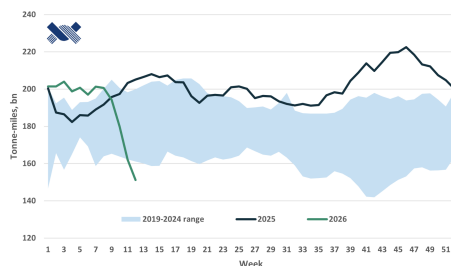
Total tanker tonne-mile demand over the last two weeks has on average been 19% lower than at the beginning of this year. The biggest downside is unsurprisingly seen for VLCCs, where demand is down 32%, whereas Suez, Aframax and MRs have held up relatively better. There are also regional differences, where Atlantic demand has held up significantly better than East of Suez.

Eventually, increased West-East shipments can make up for some of the shortfall, as can ships stuck inside the Hormuz and idle ships elsewhere. However, considering the size of the drop in volume it is unlikely that all can be offset.

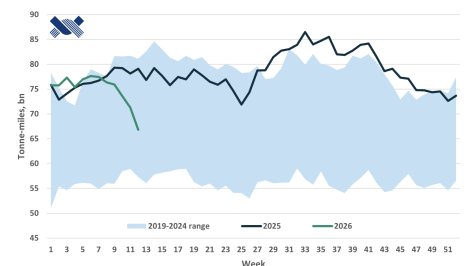
Compliant tanker tonne-mile demand (-19%)



Crude tanker tonne-mile demand (-22%)



Product tanker tonne-mile demand (-9%)



Source: Vortexa

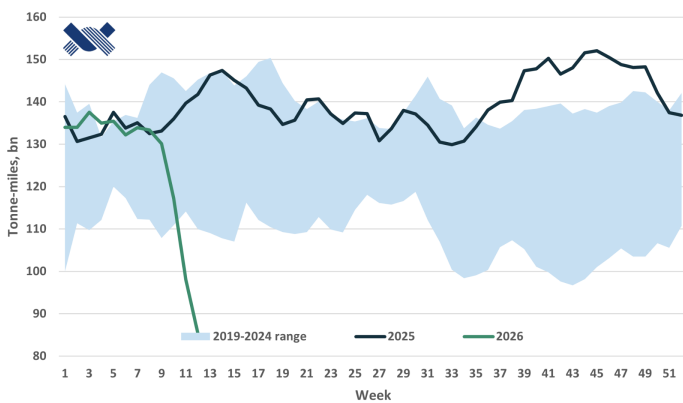
The VLCCs have been hit the hardest from supply disruptions, considering their weight in the MEG market which has effectively been sidelined. Yanbu diversions is only a partial substitute, as is laden tonnage sitting inside the Hormuz. The latter is, however, oil that will be sought after if and when the Strait reopens.

For Suez- and Aframax additional volumes in the Atlantic from SPR releases, some longer sailing distances and a very wide WTI-Brent spread has lent support - especially until more ballasting VLCCs come into play from the East - increasingly from next week.

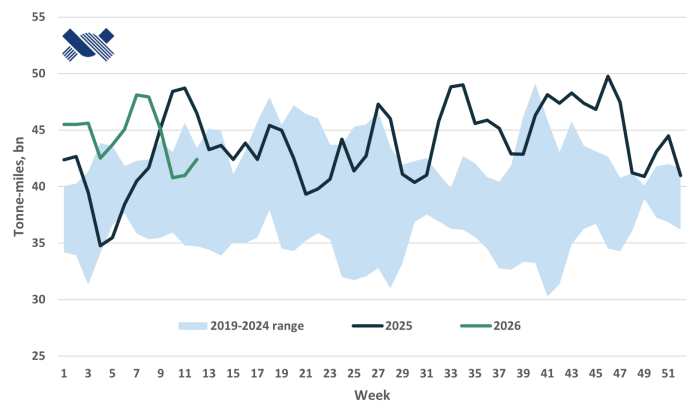
The LRs are the most exposed among the product tanker segments, with an outsized portion of normal demand being derived from the MEG. More tonnage is now seen ballasting west and/or dirtying up, alleviating some potential pressure.

MRs have been less directly exposed, although here too some lower refinery runs in the East has taken its toll. In the West, however, volumes run as before, and given outsized product price move, and acute shortages in some areas, we see more long-haul demand for these vessels, resulting in very strong rates.

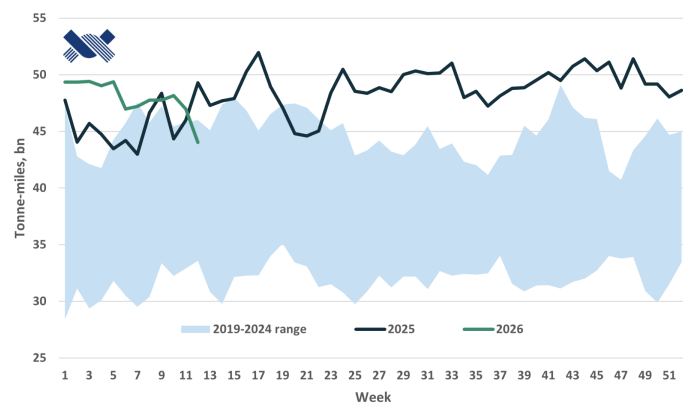
VLCC tonne-mile demand (-32%)



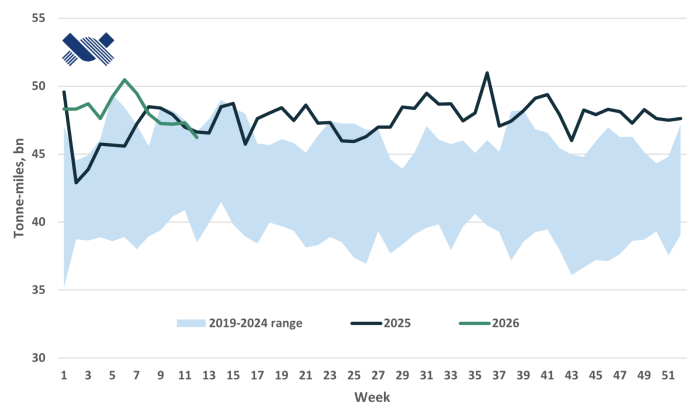
Suezmax tonne-mile demand (-8%)



Afra/LR2 tonne-mile demand (-8%)



MR tonne-mile demand (-3%)



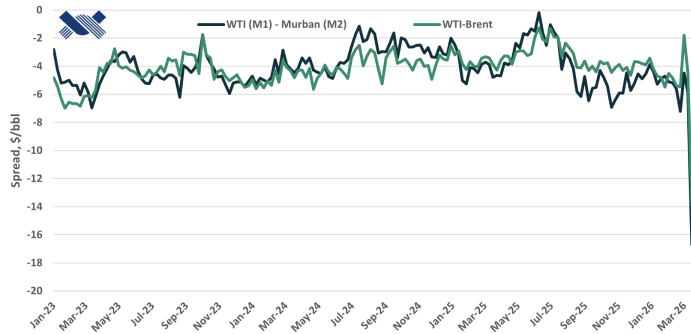
Source: Fearnleys, Vortexa

Price as a rate driver

Outsized oil price moves have contributed to strong rates. A very wide WTI-Brent spread has significantly boosted USG-UKC returns and due to tight positioning in the prompt end, Suezmax lumpsum USG-East is not far from VLs. The USG-East rate is theoretically well supported at very high levels due to a wide WTI-Murban spread. SPR releases and sanction waivers have, however, alleviated some of the pressure on Asian buyers to lock in these high freight rates, but if outages persist that pressure to buy may increase.

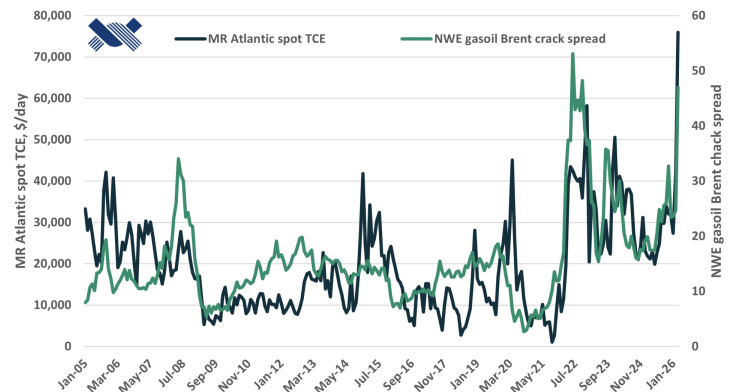
Very high oil products prices have also driven product tanker rates. MRs have benefited the most, especially in the USG where refined product supply is plentiful and arbitrages are open just about everywhere.

Relative crude oil pricing



Source: Bloomberg, Baltic Exchange

Northwest Europe gasoil crack spread vs. MR rates



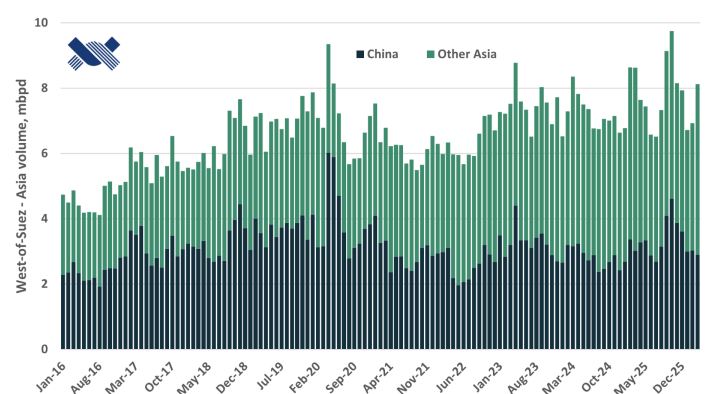
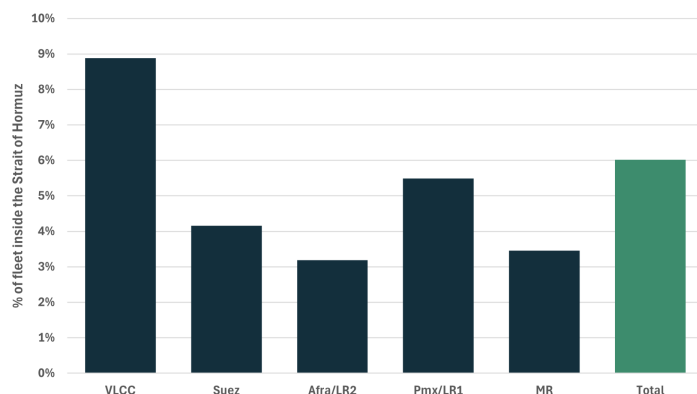
Mitigating factors

There are some mitigating factors. Although it may take several months to fully restore oil production after abrupt shut-ins, onshore storage has built up, which can bridge some of the gap to pre-war export levels - for a period. More importantly, fleet dispersion and logistical re-scheduling may cause inefficient shipping, which can help boost rates during a reopening phase.

On fleet dispersion, 6% of the tanker fleet is now 'stuck' within the MEG, and as much as 9% of the VLCC fleet. Similarly, due to slower than perhaps anticipated re-routing of flows through Yanbu (now about 4 mbpd) and Fujairah (hardly changed vs. before the war), amid what looks like constrained load capacity, there are plenty of idle vessel sitting off ports.

Increased Atlantic-East flow may also absorb some of the demand shortfall. In recent months Atlantic-East flow has been about 2.5 mbpd lower than at the peak last year. Some upside can possibly be added from Venezuela and SPR releases, but at the same time MEG-Atlantic crude flow has been more than 1.5 mbpd lately, some of which may now come to a halt. Realistically, there may thus be up to about 2 mbpd upside for Atlantic-East flow, which in tonne-mile terms can offset nearly 4 mbpd of lost MEG volumes due to much longer sailing distances.

Share of the fleet within the Strait of Hormuz Atlantic-East crude oil flow

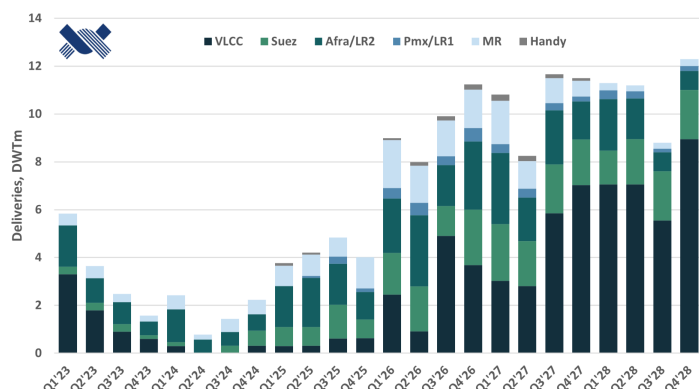


Source: Vortexa

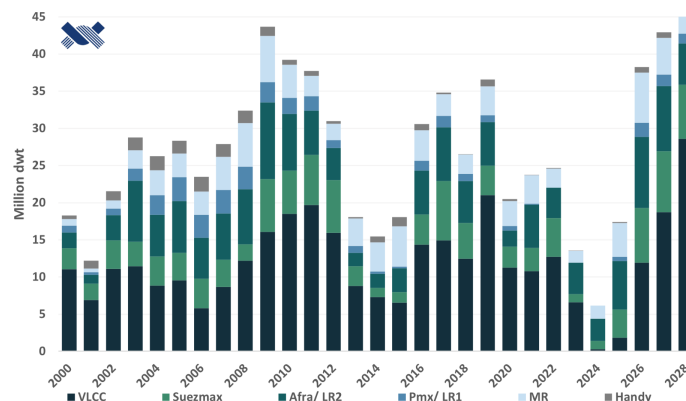
Meanwhile, there is 1.5% added to the fleet per quarter

In the midst of all the demand uncertainty and fleet reshuffling, more vessels are added to the global fleet. After three very low delivery years, about 1.5% will be added to the fleet every quarter this year. There has been some phase-out lately, mostly shadow tankers, but even this may come to a halt now that waivers have been given to discharge Russian and Iranian crude, even from sanctioned tankers. Given headlines about additional ('creative') measures to address oil pricing from the U.S. administration, further waivers may not be ruled out, and hence some additional employment opportunities can be suspected for shadow tankers near-term. Hence, very little scrapping is expected, and net fleet growth this year may come very close to the 6% scheduled to be delivered.

Quarterly tanker deliveries



Annual tanker deliveries



Source: Fearnleys

Potentially positive longer term implications

The most significant medium to longer-term implication of the Iran conflict may be a shift in the perception of energy security. Countries whose vulnerabilities have been exposed, particularly in Asia, may need to expand strategic reserves. This creates a near-term demand impulse that could partially offset any war-related demand destruction.

A more durable demand implication could come from supply diversification away from the MEG and sanctioned barrels. This could again boost average sailing distances.

Through the conflict, OPEC spare capacity may have taken a hit. The group's effective spare capacity, already thinner than headline figures may suggest, may now be even more constrained. Hasty conflict-related shut-ins are unlikely to reverse quickly and could have some implications for upside potential longer term too. That may remove a ceiling that has historically kept oil prices in check.

Firmer than previously expected oil prices, underpinned by tighter spare capacity and resilient demand, could drive upstream investment. In the current environment, that investment is likely to skew toward short-cycle production: US tight oil, Brazilian pre-salt tiebacks and similar projects. Resurgent Atlantic Basin production could therefore provide demand tailwinds again, likely into 2028 and onwards — a more constructive outlook than appeared plausible just months ago.

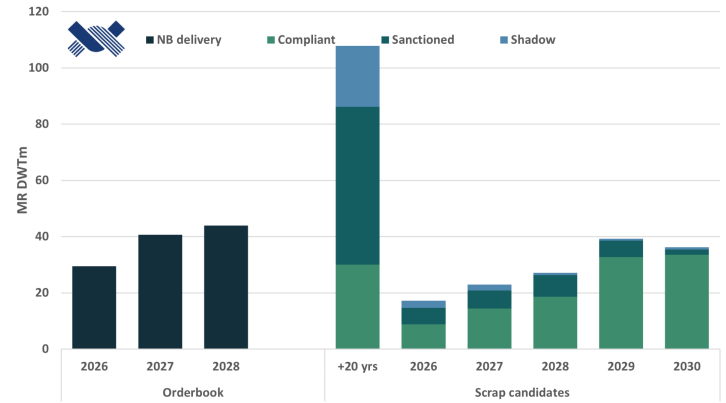
This may come at the same time as a more meaningful portion of the compliant fleet comes up toward historical average phase-out ages - especially for the bigger vessels. If it does, it could very well be the start of a new tanker up-cycle.



OPEC spare capacity



Orderbook vs. phase-out potential



Source: EIA, Fearnleys



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